

The Court finds that the proposed settlement is fair, reasonable, and adequate. The motion is granted.

Counsel are directed to prepare an order reflecting this tentative ruling and the other findings in the previously submitted proposed order, as well as a judgment. The individual class member who requested exclusion, Luis E. Pena, shall be identified in the judgment as excluded. The ultimate judgment must provide for a compliance hearing after the settlement has been completely implemented. The date shall be selected in consultation with the Department 39 clerk, but will be held in Department 16, the Honorable Benjamin Reyes, where the matter is assigned for all purposes as of March 1, 2026. Plaintiff's counsel are to submit a compliance statement one week before the compliance hearing date. 5% of the attorney's fees are to be withheld by the claims administrator pending satisfactory compliance as found by the Court.

4. 9:00 AM CASE NUMBER: C23-01684
CASE NAME: STAR JOSHUA VS. THE COUNTY OF CONTRA COSTA
***HEARING ON MOTION IN RE: AWARD OF ATTORNEY FEES**
FILED BY: JOSHUA , STAR
TENTATIVE RULING:

Plaintiff Star Joshua moves for final approval of her class action settlement with defendant Contra Costa County and separately for an award of attorney's fees, litigation costs, and a representative plaintiff award. The two motions will be considered together. The case arises from an alleged "data incident."

A. Background and Settlement Terms

The complaint alleges that on September 19 and 20, 2022, hackers gained access to two County employees' email accounts, the attachments to which included highly sensitive personally identifiable information ("PII").

The original complaint was filed on July 11, 2023. A First Amended Complaint was filed on August 30, 2023, and remains the operative complaint.

The parties engaged in early informal discovery and engaged a mediator. Informal discovery included identification of the number of affected persons, the categories of PII involved, and the number of notices to affected persons.

The proposed settlement would certify a class of all persons with California mailing addresses who were mailed a letter sent from Defendant County entitled "NOTICE OF DATA BREACH" on or about May 10, 2023. It includes approximately 15,591 members.

Class members will receive the following benefits: reimbursement of documented "extraordinary" economic losses up to \$5,000; reimbursement of documented "ordinary" losses up to \$500, and up to \$100 in "lost time" compensation (at a rate of \$25 per hour). In addition, class members may claim two years of credit monitoring and identity theft protections services. The county also will implement information security practice changes to reduce the risk of similar data incidents in the future.

"Ordinary" and "extraordinary" are defined in the agreement, with "extraordinary" having

eight categories of expenses eligible for reimbursement. “Ordinary” losses are somewhat less demanding, including, but not limited to thirteen identified types of expenses that qualify. The difference appears to be that “extraordinary” expenses are intended to cover expenses that resulted from actual access to and misuse of PII in ways that had a direct cost to the class member. Any disputes about eligibility for reimbursement may be resolved by the settlement administrator.

The class will be given mail notice. A settlement website will be maintained, which can be used for filing reimbursement claims. Various prescribed follow-up steps will be taken with respect to mail that is returned as undeliverable. The class members will be required to file a claim. Class members may object or opt out of the settlement. The Settlement administrator would be Eisner Advisory Group. They estimate settlement costs at \$47,551. Since preliminary approval, notice was mailed to the class, and the settlement website was established. The website received 16,431 views from 8,035 visitors. 15,014 notices were mailed, of which 997 were returned as undeliverable. Based on follow up, 149 notices were remailed, of which 34 were returned. Thus, 14,132 notices were delivered. 512 claims were received, of which 35 were deemed invalid, because they were from non-class members. One exclusion request was received, and no objections were received.

The settlement contains release language covering “released claims,” which are identified as “all past, present, and future claims and causes of action including, but not limited to any individual or class-wide causes of action...based on or relating to, concerning or arising out of the Data Incident.” (Settlement, Par. 1.20.) Under recent appellate authority, the limitation to those claims with the “same factual predicate” as those alleged in the complaint is critical. (*Amaro v. Anaheim Arena Mgmt., LLC* (2021) 69 Cal.App.5th 521, 537 [“A court cannot release claims that are outside the scope of the allegations of the complaint.” “Put another way, a release of claims that goes beyond the scope of the allegations in the operative complaint’ is impermissible.” (*Id.*, quoting *Marshall v. Northrop Grumman Corp.* (C.D. Cal.2020) 469 F.Supp.3d 942, 949.) Because all released claims must be related to the Data Incident, which is specially defined in the agreement and alleged in the First Amended Complaint, these requirements appear to be satisfied.

Where the administrator issues a check for expense reimbursement, “any funds disbursed by Defendant for a voided check shall be paid to a mutually agreeable cy pre recipient to advance privacy interests,” subject to this Court’s approval. (Par. 10.13.) Counsel have provided the Court with no material meeting the requirements for a cy pres distribution to a non-profit entity. Counsel must provide a declaration concerning the cy pres recipient that meets the requirements of Code of Civil Procedure section 382.4. In addition, the cy pres recipient must be qualified under Code of Civil Procedure section 384(b), which requires that cy pres funds be provided “to nonprofit organizations or foundations to support projects that will benefit the class or similarly situated persons, or that promote the law consistent with the objectives and purposes of the underlying cause of action, to child advocacy programs, or to nonprofit organizations providing civil legal services to the indigent[.]” Counsel also must attest that they do not have any pecuniary interest in the cy pres recipient, and must “notify the court if the attorney has a connection to or a relationship with a nonparty recipient of the distribution that could reasonably create the appearance of impropriety as between the selection of the recipient of the money or thing of value and the interests of the class.” (CCP § 382.4.) The Court understands that the payments here are unlikely to be large, and that the settlement provides that the recipient of the funds must be approved by the Court. Nonetheless these requirements must be established “in connection with the hearing for preliminary approval” of the settlement. (*Id.*)

Accordingly, the Court requested clarification of these issues at the first hearing on

preliminary approval. Counsel identified the State Bar's "Justice Gap Fund," which is an organization providing civil legal services to the indigent, and therefore qualifies. Counsel further have attested that they have no problematic interest or association with the recipient.

Plaintiffs' counsel will seek, by motion, attorney's fees not to exceed \$150,000. The named plaintiff seeks a service award in the amount of \$2,500. These fees, plus the costs of claims administration and the costs of class notice, will be paid by the County.

The initial moving papers for the motion for preliminary approval did not contain any discussion of the extent to which any individual's information actually was accessed and the nature of their damages. Nor was there any discussion of the extent to which class members actually are likely to file claims, which would presumably be addressed by experience with similar settlements. In connection with the initial hearing on the motion for preliminary approval, counsel submitted a supplemental declaration, which addressed these issues to the satisfaction of the Court.

B. Legal Standards

The primary determination to be made is whether the proposed settlement is "fair, reasonable, and adequate," under *Dunk v. Ford Motor Co.* (1996) 48 Cal.App.4th 1794, 1801, including "the strength of plaintiffs' case, the risk, expense, complexity and likely duration of further litigation, the risk of maintaining class action status through trial, the amount offered in settlement, the extent of discovery completed and the state of the proceedings, the experience and views of counsel, the presence of a governmental participant, and the reaction ... to the proposed settlement." (See also *Amaro v. Anaheim Arena Mgmt., LLC*, *supra*, 69 Cal.App.5th 521.)

California law provides some general guidance concerning judicial approval of any settlement. First, public policy generally favors settlement. (*Neary v. Regents of University of California* (1992) 3 Cal.4th 273.) Nonetheless, the court should not approve an agreement contrary to law or public policy. (*Bechtel Corp. v. Superior Court* (1973) 33 Cal.App.3d 405, 412; *Timney v. Lin* (2003) 106 Cal.App.4th 1121, 1127.) Moreover, "[t]he court cannot surrender its duty to see that the judgment to be entered is a just one, nor is the court to act as a mere puppet in the matter." (*California State Auto. Assn. Inter-Ins. Bureau v. Superior Court* (1990) 50 Cal.3d 658, 664.) As a result, courts have specifically noted that *Neary* does not always apply, because "[w]here the rights of the public are implicated, the additional safeguard of judicial review, though more cumbersome to the settlement process, serves a salutary purpose." (*Consumer Advocacy Group, Inc. v. Kintetsu Enterprises of America* (2006) 141 Cal.App.4th 48, 63.)

C. Attorney fees, costs and representative payment.

Plaintiff will seek no more than \$150,000 in attorney's fees. Often in class actions, the amount sought is a percentage of a common fund. There is no identified fund here, however. Even a proper common fund-based fee award, however, should be reviewed through a lodestar cross-check. In *Lafitte v. Robert Half International* (2016) 1 Cal.5th 480, 503, the Supreme Court endorsed the use of a lodestar cross-check as a way to determine whether the percentage allocated is reasonable. It stated: "If the multiplier calculated by means of a lodestar cross-check is extraordinarily high or low, the trial court should consider whether the percentage used should be adjusted so as to bring the imputed multiplier within a justifiable range, but the court is not necessarily required to make such an adjustment." (*Id.*, at 505.) Under these circumstances, it appears that a lodestar analysis would be appropriate. The Court also notes that two firms will split the fee equally, which has been agreed to by the class representative. This would appear to comply with Rules of Professional Conduct Rule

1.5.1.

The lodestar fee presented by plaintiff is \$252,965. The total number of hours is 341.9, with hourly rates ranging from \$475 to \$1,025. This results in an imputed multiplier of 0.59, i.e., a “negative” multiplier. While the billing of a \$1,025 rate might be questioned, counsel have in essence discounted their lodestar by 41%, which is sufficient. The attorney’s fee of \$150,000 is reasonable and is approved.

Litigation costs of \$12,522.87 are reasonable and are approved.

Settlement administration costs of \$47,550.85 are reasonable and are approved.

The requested representative payment of \$2,500 for plaintiff will be reviewed now, under the criteria for evaluation of representative payment requests discussed in *Clark v. American Residential Services LLC* (2009) 175 Cal.App.4th 785, 804-807. Plaintiff attests to her work on the case, and that since the data incident she has experienced identity theft and suspicious phishing emails. She has spent several hours working on the case. The \$2,500 payment is approved.

The motion for approval of attorney’s fees, costs, administrative costs, and representative payment is granted.

D. Conclusion

The Court finds that the settlement is fair, reasonable, and adequate, and grants the motion for approval, as well as the motion for approval of fees and costs. Counsel are directed to prepare an order reflecting this ruling as well as the other items in the proposed order, and a final judgment. The ultimate judgment must provide for a compliance hearing after the settlement has been completely implemented. That hearing date should be determined in consultation with the Department 39 clerk, but will be held in Department 16. Department 16, the Honorable Benjamin Reyes is assigned to this matter for all purposes as of March 1, 2026. Plaintiffs’ counsel are to submit a compliance statement one week before the compliance hearing date. If any funds are to be provided to the cy pres recipient, that shall be documented in the compliance declaration, and the judgment shall be amended to reflect the authorized payment. 5% of the attorney’s fees are to be withheld by the claims administrator pending satisfactory compliance as found by the Court.

5. 9:00 AM CASE NUMBER: C23-01684
CASE NAME: STAR JOSHUA VS. THE COUNTY OF CONTRA COSTA
***HEARING ON MOTION IN RE: FINAL APPROVAL SET BY THE COURTROOM**
FILED BY:
TENTATIVE RULING:
See line 4.

6. 9:00 AM CASE NUMBER: C23-02285
CASE NAME: FREDRICK HAGEN VS. TOWN OF DANVILLE
***HEARING ON MOTION FOR DISCOVERY COMPEL FURTHER DISCOVERY RESPONSES TO SPECIAL INTERROGATORIES, SET 1**
FILED BY: CENTRAL CONTRA COSTA SANITARY DISTRICT
TENTATIVE RULING:
Defendant Central Contra Costa Sanitary District (District) moves to compel further responses to